

COMMITTEE ON COMMERCE
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1206
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 20-321, Arizona Revised Statutes, is amended to
3 read:

4 20-321. Definitions

5 In this article, unless the context otherwise requires:

6 1. "ADJUST" MEANS TO INVESTIGATE OR NEGOTIATE THE SETTLEMENT OF A
7 CLAIM ARISING PURSUANT TO A PROPERTY AND CASUALTY INSURANCE CONTRACT.

8 ~~1.~~ 2. "Adjuster":

9 (a) Means any person who for compensation, fee or commission ~~either~~
10 DOES ANY OF THE FOLLOWING:

11 (i) ~~Adjusts, investigates or negotiates settlement of claims~~
12 ~~arising under property and casualty insurance contracts~~ ADJUSTS CLAIMS on
13 behalf of either the insurer or the insured.

14 (ii) Holds oneself out to perform a service listed in item (i) of
15 this subdivision.

16 (iii) DIRECTLY OR INDIRECTLY SOLICITS BUSINESS FROM, INVESTIGATES
17 OR ADVISES AN INSURED ABOUT CLAIMS ARISING PURSUANT TO PROPERTY AND
18 CASUALTY INSURANCE CONTRACTS FOR A PERSON THAT PERFORMS SERVICES PURSUANT
19 TO ITEM (i) OF THIS SUBDIVISION.

20 (b) Does not include:

21 (i) A licensed attorney-at-law who is qualified to practice law in
22 this state.

23 (ii) A salaried employee of an insurer or of a managing general
24 agent. For the purposes of this item, "salaried employee" means an
25 employee whose compensation is not contingent on the outcome of a claim
26 determination.

1 (iii) A licensed insurance producer who adjusts or assists in
2 adjustment of losses arising under policies procured through the insurance
3 producer.

4 (iv) An employee of a political subdivision who adjusts or assists
5 in the adjustment of losses arising under policies covering the political
6 subdivision or persons indemnified by the political subdivision.

7 (v) An independent contractor retained by a licensed adjuster or a
8 person listed in items (i), (ii), (iii) and (iv) of this subdivision for
9 the sole purpose of providing technical assistance in connection with a
10 claim. Independent contractors may include photographers, estimators,
11 engineers, private detectives or handwriting experts.

12 (vi) An individual who collects claim information from or furnishes
13 claim information to insureds or claimants and who conducts data entry,
14 including entering data into an automated claims adjudication system, if
15 not more than twenty-five persons, as described in this item, are under
16 the supervision of a single licensed adjuster or licensed producer.

17 (vii) A licensed insurance producer who supervises or adjusts
18 claims pursuant to item (vi) of this subdivision.

19 (viii) Registered third-party administrators and their employees
20 who are engaged in administering accident and health or life insurance
21 claims.

22 (ix) An individual who adjusts, investigates or negotiates
23 settlement of only workers' compensation claims.

24 ~~2.~~ 3. "Automated claims adjudication system" means a preprogrammed
25 computer system that is designed for the collection, data entry,
26 calculation and final resolution of portable consumer electronic products
27 insurance claims and that:

28 (a) May be used only by a licensed adjuster, a licensed producer or
29 supervised individuals operating pursuant to this paragraph.

30 (b) Must comply with all claims payment requirements under this
31 title and be certified as compliant by a licensed adjuster.

32 ~~3.~~ 4. "Portable consumer electronic products" means electronic
33 devices and related accessories that are portable in nature.

34 Sec. 2. Section 20-321.02, Arizona Revised Statutes, is amended to
35 read:

36 20-321.02. Application of other laws

37 A. To the extent ~~permitted~~ ALLOWED by this article, sections 20-281
38 and 20-284, section 20-286, subsections B, C and D, sections 20-287,
39 20-288, 20-289 and 20-289.01, section 20-290, subsection A and sections
40 20-291, 20-292, 20-295, 20-296, 20-297, 20-299, 20-301 and 20-302 apply to
41 adjusters.

42 B. AN ADJUSTER MAY NOT PROPOSE OR ATTEMPT TO PROPOSE TO ANY INSURED
43 THAT THE ADJUSTER REPRESENTS THE INSURED WHILE A LOSS-PRODUCING OCCURRENCE
44 IS CONTINUING AT THE DAMAGED PREMISES OR WHILE THE FIRE DEPARTMENT OR ANY
45 OTHER PUBLIC SAFETY SERVICE IS ENGAGED IN A PUBLIC SAFETY EMERGENCY
46 RESPONSE AT THE DAMAGED PREMISES.

1 C. AN ADJUSTER MAY NOT PARTICIPATE EITHER DIRECTLY OR INDIRECTLY,
2 INCLUDING AS CONTRACTOR OR SUBCONTRACTOR, IN THE RESTORATION,
3 RECONSTRUCTION OR REPAIR OF ANY DAMAGED PREMISES OR PROPERTY THAT IS THE
4 SUBJECT OF A CLAIM ADJUSTED BY THE ADJUSTER.

5 D. AN ADJUSTER MAY NOT ENDORSE PAYMENT INSTRUMENTS ISSUED TO AN
6 INSURED AS A RESULT OF A CLAIM ARISING UNDER AN INSURANCE CONTRACT WITHOUT
7 THE INSURED'S DIRECT ENDORSEMENT AND SIGNATURE.

8 Sec. 3. Section 32-1158.02, Arizona Revised Statutes, is amended to
9 read:

10 32-1158.02. Residential construction contracts

11 A. For residential repair or replacement of damage resulting
12 directly from a catastrophic storm in a specific area that is designated
13 by an insurer, in addition to the requirements of section 32-1158, a
14 licensed contractor who enters into a contract for the repair or
15 replacement of a residential roof or other repair or replacement within
16 the scope of the regulation of this chapter with a purchaser who resides
17 in the residence or who intends to reside in the residence after the
18 completion of the contract shall include IN THE CONTRACT at least the
19 following provisions:

20 1. A statement in at least ten-point bold type in substantially the
21 following form: "You may cancel this contract at any time within
22 seventy-two hours after you have been notified that your insurer has
23 denied your claim to pay for the goods and services to be provided under
24 this contract."

25 2. A statement in at least ten-point bold type in substantially the
26 following form: "You may cancel this contract at any time, for any
27 reason, within four business days after signing this contract."

28 3. A copy of a repair estimate that contains the following
29 disclosures:

30 (a) A precise description and location of all damage claimed on the
31 repair estimate.

32 (b) For roofing repair or replacement, a detailed description of
33 the work to be done, including the square footage of the repair area or
34 the replacement area.

35 (c) If the damaged areas are not included in the repair estimate, a
36 specification of those areas and any reason for their exclusion from the
37 repair estimate.

38 (d) Whether or not the property was inspected before the
39 preparation of the estimate and the nature of that inspection,
40 specifically whether the roof was physically accessed.

41 (e) That a contractor has made no assurances that the claimed loss
42 will be covered by an insurance policy.

43 (f) That the policyholder is responsible for payment for any work
44 performed if the insurer should deny payment or coverage for any part of
45 the loss.

46 B. A residential owner of a property or casualty insurance policy
47 has the right to cancel the contract described in subsection A of this

1 section within seventy-two hours after the insured owner has been notified
2 by the insurer that the claim has been denied.

3 C. In addition to the right prescribed in subsection B of this
4 section, the insured owner of a residence has the right to cancel the
5 contract described in subsection A of this section for any reason within
6 four business days after signing the contract. A cancellation shall be
7 evidenced by the insured owner giving written notice of cancellation to
8 the contractor's address stated in the contract. Notice of cancellation
9 does not need to be in a particular form, except that the notice must
10 indicate in writing the intent of the insured owner not to be bound by the
11 contract.

12 D. Within ten days after a contract has been canceled pursuant to
13 this section, the contractor must tender to the insured owner any payments
14 made by the insured owner and any note or other evidence of indebtedness,
15 except that if the contractor has performed any emergency services, the
16 contractor is entitled to receive reasonable compensation for the services
17 if the insured owner has received a detailed description and itemization
18 of the charges for those services.

19 E. The down payment section on the execution of a contract entered
20 into pursuant to this section shall not require more than fifty ~~per cent~~
21 PERCENT of the total contract.

22 F. Any changes, additions or deletions to the work order specified
23 in the original contract shall be included in a written change order that
24 is signed by the homeowner.

25 G. A contractor shall immediately notify and disclose in writing to
26 the residential owner of a property or casualty insurance policy any
27 cancellation of the contractor's workers' compensation coverage.

28 H. A contractor's failure to comply with this section is grounds
29 for license suspension or revocation pursuant to section 32-1154.

30 I. An individual or contractor who prepares a repair estimate for
31 post-storm repair or replacement services as described in subsection A of
32 this section in anticipation of making an insurance claim must disclose
33 the following information to the insured owner:

34 1. A precise description and location of all damage claimed or
35 included on the repair estimate.

36 2. Documentation to support the damage claimed on the estimate,
37 including photographs, digital images or another medium.

38 3. A detailed description and itemization of any emergency repairs
39 already completed by the contractor.

40 4. If damaged areas are not included in the repair estimate, a
41 specification of those areas and any reason for their exclusion from the
42 repair estimate.

43 5. A provision stating whether ~~or not~~ the property was inspected
44 before the preparation of the estimate, if the contract is a contract for
45 repair or replacement of a roof, and whether the roof was physically
46 accessed.

1 6. A provision stating that the contractor has made no assurances
2 that the claimed loss will be covered by an insurance policy.

3 J. If an insured owner submits a claim with the insurer for
4 residential repair or replacement pursuant to this section, the contractor
5 MAY NOT ADVERTISE TO PAY, ISSUE PAYMENT FOR OR PROMISE TO PAY ANY
6 DEDUCTIBLE PAYABLE ON THE POLICY OR ISSUE ANY REBATE DEDUCTIBLE EITHER
7 DIRECTLY OR INDIRECTLY AND may not begin work on the repair or replacement
8 until the insurer approves or denies the claim, except if the work is
9 necessary to prevent further loss.

10 K. A person who is not licensed pursuant to this chapter and who is
11 not exempt from licensure pursuant to this chapter may not bring a private
12 cause of action to recover monies from a homeowner for any residential
13 repair or replacement that the person does pursuant to this section.

14 L. Except as otherwise provided in this subsection, a contractor
15 providing post-storm repair or replacement contracting services shall not
16 ALSO act AS AN ADJUSTER ON BEHALF OF THE INSURED FOR THE CLAIM, SHALL NOT
17 ACT on behalf of an insured owner in OTHERWISE negotiating for the
18 settlement of a claim for loss or damage under any policy of insurance
19 covering the insured owner's residence and shall not make any assurance
20 that the proposed repair or replacement contracting services will be
21 covered by an insurance policy. The contractor may communicate with an
22 insurer to assist in any claim disputes, including actual damages
23 incurred, if both of the following apply:

24 1. The insured owner gives the contractor permission.

25 2. The contractor is not compensated for the communication.

26 M. With a policyholder's written consent, an insurer providing
27 coverage for a post-storm residential repair or replacement may issue its
28 check in the name of both the policyholder and the contractor with the
29 contractor's license number issued pursuant to this chapter noted on the
30 check.

31 N. This section ~~shall~~ DOES not limit the following individuals from
32 contacting and negotiating with the insured owner:

33 1. A government official WHO IS engaged in the performance of
34 official duties.

35 2. An attorney WHO IS engaged in the performance of professional
36 duties.

37 3. Licensed insurers and licensed insurance producers while engaged
38 in the performance of their duties in connection with insurance
39 transactions.

40 4. Any salaried office employee WHO IS performing exclusively
41 clerical or administrative duties and who is not compensated in any manner
42 for securing contracts related to post-storm residential repair or
43 replacement contracting.

44 5. Photographers, estimators, appraisers or engineers WHO ARE
45 employed exclusively for the purpose of furnishing technical assistance.

46 6. A private investigator who is licensed pursuant to chapter 24 of
47 this title.

1 7. A full-time salaried employee of a property owner or property
2 management company who is retained by a property owner, who has not been
3 hired for the purpose of handling a specific claim resulting from a fire
4 or casualty loss and who acts at the sole discretion of the property owner
5 or management company regarding a claim related to the owner's property.

6 O. A CONTRACTOR MAY NOT PROPOSE TO ANY PERSON THAT THE PERSON SIGN
7 AN AGREEMENT FOR WORK ON ANY DAMAGED PREMISES WHILE A LOSS-PRODUCING
8 OCCURRENCE IS CONTINUING AT THE DAMAGED PREMISES OR WHILE THE FIRE
9 DEPARTMENT OR ANY OTHER PUBLIC SAFETY SERVICE IS ENGAGED IN A PUBLIC
10 SAFETY EMERGENCY RESPONSE AT THE DAMAGED PREMISES. [THIS SUBSECTION DOES
11 NOT PREVENT A CONTRACTOR FROM PROVIDING SERVICES TO A HOMEOWNER IN ORDER
12 TO MAINTAIN OR RESTORE ESSENTIAL SERVICES TO THE PREMISES OR TO PREVENT
13 FURTHER IMMEDIATE DAMAGE TO THE PREMISES.]

14 Enroll and engross to conform

15 Amend title to conform

And, as so amended, it do pass

JEFF WENINGER
CHAIRMAN

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